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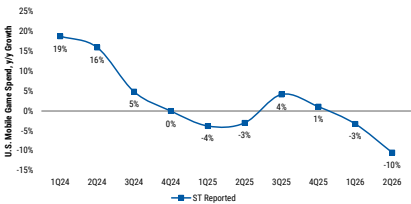
AppLovin Corp | North America

# Is Mobile Gaming In a Bear Market? We Don't Think So

The mobile game market is healthier than feared, as 3P data does not capture the shift to direct payment. We estimate that 17% of US spend has shifted direct since 1Q25, which implies a 2% market decline in 2Q vs. 10% reported...and we continue to see this trend as bullish for APP and the ecosystem.

**2Q Trends Are Raising Investor Concerns About a "Bear Market" for Mobile Games...** Sensor Tower shows a 10% y/y decline in US mobile game spend for 2Q. Implied iOS App Store revenue was weaker than expected in the quarter, as were results for ad techs with heavy gaming exposure like APP. This is leading investors to ask: **Are we in a bear market for mobile gaming that is dragging down trends for APP and others? We think the answer is no.**

**Exhibit 1:** Sensor Tower data shows US consumer spend on mobile games declining 10% y/y in 2Q



Source: Sensor Tower, Morgan Stanley Research

**Exhibit 2:** APP and U both spoke to growing DTC mix during their 2Q:26 earnings calls

| 2Q26 Earnings Commentary on DTC Shift |                                                                                                                                                                                  |
|---------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| APP                                   | "The in-app purchasing market has some misleading data out there because companies that are analytics providers can't actually track the purchases that are going off platform." |
| U                                     | "A lot of the estimates are showing that direct-to-consumer monetization within mobile gaming is already around 15% of the overall market."                                      |

Source: Company Data, Morgan Stanley Research

**...But We Think an Accelerating Shift to Direct Payments Makes the Data Look Worse than the Reality:** Direct payments in mobile games have become increasingly common and easy to adopt (the US especially since 1Q:25; more on that [here](#)). That shift in spend to direct payments in not captured by 3P data and by definition doesn't contribute to AAPL services revenue. Our analysis of the available data implies that **17% of US consumer spending on mobile games has shifted to direct payments since 1Q:25. That would also imply that the US mobile game industry shrank just 2% y/y in 2Q, rather than the headline 10%.**

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AppLovin Corp (APP.O, APP US)

|                                     |                 |
|-------------------------------------|-----------------|
| Internet   United States of America |                 |
| Stock Rating                        | Overweight      |
| Industry View                       | Attractive      |
| Price target                        | \$650.00        |
| Shr price, close (Aug 12, 2026)     | \$303.76        |
| Mkt cap, curr (mm)                  | \$102,377       |
| 52-Week Range                       | \$745.61-303.17 |

| Fiscal Year Ending | 12/25 | 12/26e | 12/27e | 12/28e |
|--------------------|-------|--------|--------|--------|
| EPS (\$)**         | 9.61  | 15.38  | 19.92  | 23.90  |
| Prior EPS (\$)**   | -     | -      | -      | -      |
| P/E                | 70.1  | 19.8   | 15.3   | 12.7   |
| EPS (\$)           | 9.34  | 15.79  | 20.76  | 27.18  |
| Div yld (%)        | -     | -      | -      | -      |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework  
\*\* = Based on consensus methodology  
\$ = Consensus data is provided by Refinitiv Estimates  
e = Morgan Stanley Research estimates

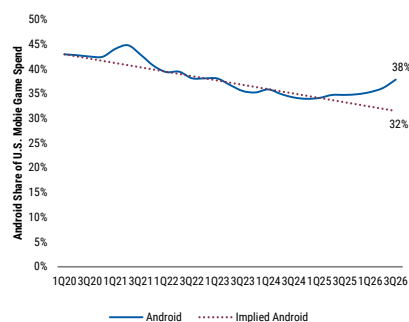
| QUARTERLY EPS (\$) |      |             |               |             |               |
|--------------------|------|-------------|---------------|-------------|---------------|
| Quarter            | 2025 | 2026e Prior | 2026e Current | 2027e Prior | 2027e Current |
| Q1                 | 1.67 | -           | 3.56a         | -           | 4.57          |
| Q2                 | 2.26 | -           | 3.76a         | -           | 4.63          |
| Q3                 | 2.45 | -           | 3.79          | -           | 4.84          |
| Q4                 | 3.24 | -           | 4.52          | -           | 5.80          |

e = Morgan Stanley Research estimates, a = Actual Company reported data

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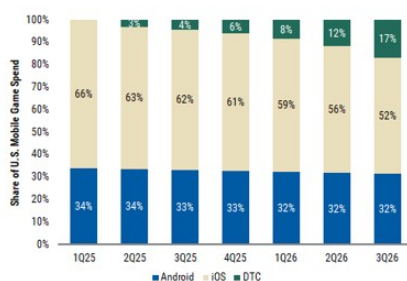
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**Exhibit 3:** The consistent decline in Android's share of US mobile gaming spend suddenly reversed in 1Q:25. We posit that this was driven by declines in measured iOS spending as a result of a shift to direct payments. If we extend the '20-'24 trendline out to '26, Android would be at just 32% US mobile gaming share vs. 38% reported in 2Q:26



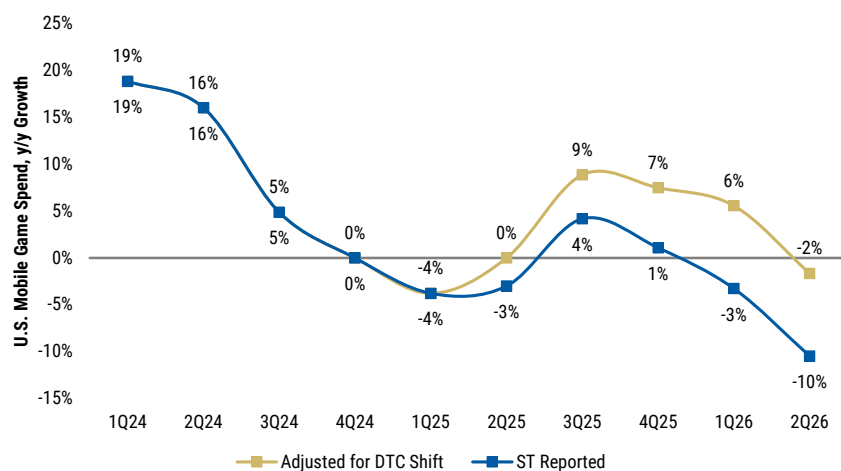
Source: Sensor Tower, Morgan Stanley Research

**Exhibit 4:** If reported mix shift to Android actually reflects iOS spend moving to DTC, then we estimate that 17% of total US consumer spend on mobile games has shifted to DTC since 1Q:25



Source: Sensor Tower, Morgan Stanley Research

**Exhibit 5:** When adjusting for the mix to direct payments, we believe that US mobile game spend declined just 2% y/y in 2Q26 vs. 10% reported



Source: Sensor Tower, Morgan Stanley Research

**So Then Why Did APP Disappoint at 2Q and What Comes Next?** To be clear, 2Q did not appear to be an especially strong quarter for mobile games. However, we think company-specific 2Q results are more readily explained by idiosyncratic factors - e.g., the timing (and bears would argue, amount of runway ahead) for APP's improvements to its ad targeting model. To that point, we also saw notably strong results in the space from U and Tencent (covered by Gary Yu). **This leaves us out of consensus in our (relative) bullishness on trends in mobile gaming broadly...and**

**we continue to believe that direct payments will be a tailwind to results at mobile ad names like APP, U, and LFTO** as incremental gross profit dollars at game publishers are ultimately reinvested in paid user acquisition. For more on that, see [Why the Shift to Direct Payments Is Bullish for U & APP](#).

## Valuation Methodology and Risks

### AppLovin Corp (APP.O)

We use a target 22x EV/EBITDA multiple based methodology informed by a regression of peers

#### Risks to Upside

- Ad network accelerates share gains
- New advertisers (e.g. ecommerce) move more aggressively to mobile apps over time
- APP expands into new channels such as CTV

#### Risks to Downside

- Macroeconomic pressure is worse/more prolonged
- Ad network competition intensifies, narrowing APP's take rate
- APP loses access to critical data that drives performance
- Mobile platforms enforce harmful restriction on advertising businesses

### Liftoff Mobile Inc. (LFTO.O)

We base our price target on a target EV/EBITDA multiple, informed by a margin-adjusted growth to value regression of ad tech and online ad peers. Our target 11x EV/EBITDA multiple represents a discount to this regression given LFTO's smaller scale and higher leverage compared to other ad tech peers.

#### Risks to Upside

- Ad network accelerates share gains
- New emerging verticals scale spending more quickly over time
- Better than expected margin expansion

#### Risks to Downside

- Larger performance ad tech players scale in non-gaming verticals, increasing competition
- Slower adoption or scale in new emerging verticals
- Slower than expected improvements in ad model
- Mobile platforms enforce restrictions on advertising business

### Unity Software Inc (U.N)

We base our price target on an EV/EBITDA multiple informed by a regression of U's peers, 21x representing a premium to peer multiples, justified by U's leadership position as a game development platform, with the data and go-to-market advantages that it confers on the advertising business.

#### Risks to Upside

- Faster Create growth driven by high monetization and new pricing models
- Inflection in the Grow business leading to share gains
- Better traction outside of gaming for Create

### **Risks to Downside**

- Create struggles to increase monetization and profitability
- The ad network declines in absolute terms as share losses continue
- Non-gaming Create stalls or declines due to lack of product-market fit

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(as of July 31, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1529              | 42%        | 442                              | 47%            | 29%                  | 750                                               | 43%                   |
| Equal-weight/Hold     | 1582              | 43%        | 396                              | 42%            | 25%                  | 773                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 560               | 15%        | 97                               | 10%            | 17%                  | 217                                               | 12%                   |
| Total                 | 3,674             |            | 936                              |                |                      | 1741                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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## Stock Price, Price Target and Rating History (See Rating Definitions)

AppLovin Corp (APP.O) - As of 08/13/26 GMT in USD  
Industry : Internet



Stock Rating History: 8/1/21 : U/I; 8/16/21 : E/I; 12/13/21 : O/I; 8/9/22 : NA/I; 9/23/22 : O/I; 11/27/22 : E/I; 10/22/23 : E/A; 4/10/25 : O/A

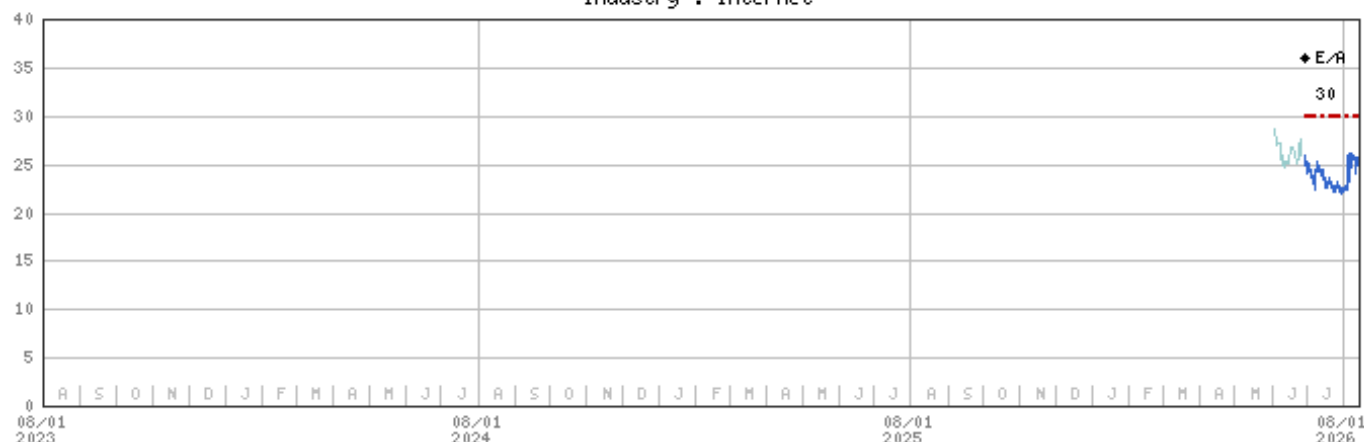
Price Target History: 5/12/21 : 68; 8/16/21 : 60; 9/28/21 : 80; 11/10/21 : 87; 12/13/21 : 120; 2/16/22 : 100; 4/28/22 : 70; 6/12/22 : 65; 8/9/22 : NA; 9/23/22 : 35; 11/27/22 : 20; 1/17/23 : 15; 2/8/23 : 16; 5/11/23 : 17.5; 8/16/23 : 40; 11/9/23 : 43.5; 2/15/24 : 55; 4/16/24 : 70; 5/9/24 : 80; 9/27/24 : 110; 11/7/24 : 200; 1/12/25 : 365; 2/13/25 : 470; 4/10/25 : 350; 5/8/25 : 420; 6/9/25 : 460; 8/7/25 : 480; 9/28/25 : 750; 1/12/26 : 800; 2/12/26 : 720; 8/6/26 : 650

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---  
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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Liftoff Mobile Inc. (LFTO.O) - As of 08/13/26 GMT in USD  
Industry : Internet



Stock Rating History: 6/29/26 : E/A

Price Target History: 6/29/26 : 30

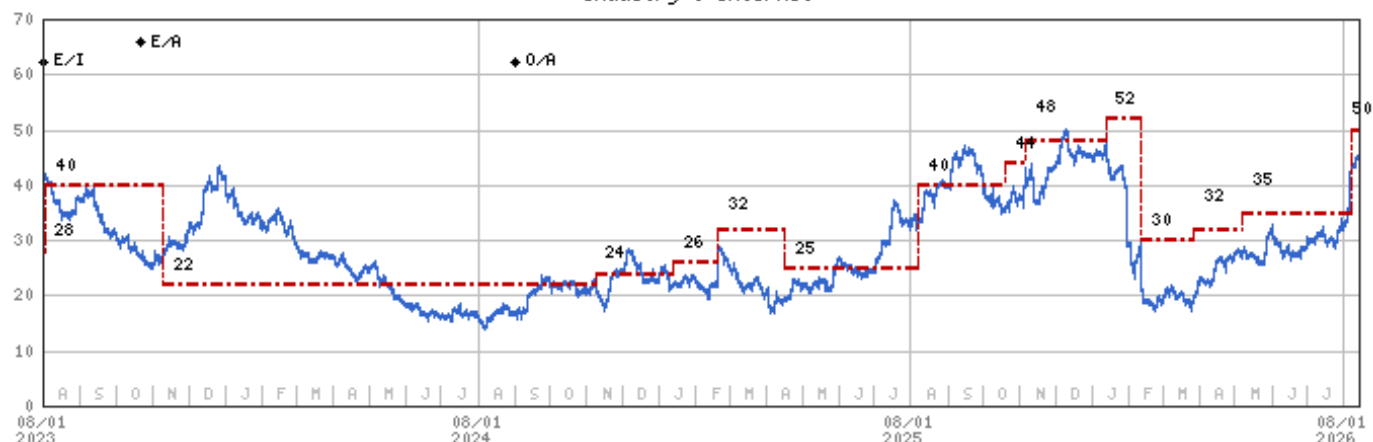
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Stock Rating History: 8/1/21 : E/I; 12/13/21 : O/I; 7/13/22 : NA/I; 8/9/22 : NA/I; 10/18/22 : NA/I; 11/27/22 : E/I; 10/22/23 : E/A; 9/2/24 : O/A

Price Target History: 6/30/21 : 115; 8/10/21 : 120; 11/9/21 : 130; 12/13/21 : 185; 4/28/22 : 110; 5/11/22 : 50; 7/13/22 : NA; 8/9/22 : NA; 10/18/22 : NA; 11/27/22 : 27.5; 5/11/23 : 28; 8/3/23 : 40; 11/10/23 : 22; 11/8/24 : 24; 1/12/25 : 26; 2/20/25 : 32; 4/16/25 : 25; 8/7/25 : 40; 10/19/25 : 44; 11/5/25 : 48; 1/12/26 : 52; 2/11/26 : 30; 3/27/26 : 32; 5/7/26 : 35; 8/7/26 : 50

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)  
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
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 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)  
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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## INDUSTRY COVERAGE: Internet

| COMPANY (TICKER)                       | RATING (AS OF) | PRICE* (08/12/2026) |
|----------------------------------------|----------------|---------------------|
| <b>Brian Nowak, CFA</b>                |                |                     |
| Airbnb Inc (ABNB.O)                    | U (12/06/2022) | \$180.10            |
| Alphabet Inc. (GOOGL.O)                | O (08/11/2015) | \$343.54            |
| Amazon.com Inc (AMZN.O)                | O (04/24/2015) | \$267.28            |
| Booking Holdings Inc (BKNG.O)          | O (02/23/2026) | \$212.26            |
| DoorDash Inc (DASH.O)                  | O (02/21/2024) | \$212.49            |
| Expedia Inc. (EXPE.O)                  | E (01/09/2019) | \$325.57            |
| Instacart (CART.O)                     | E (01/29/2024) | \$48.45             |
| Lyft Inc (LYFT.O)                      | E (10/24/2019) | \$16.58             |
| Meta Platforms Inc (META.O)            | O (03/20/2023) | \$578.85            |
| Pinterest Inc (PINS.N)                 | O (07/20/2025) | \$22.90             |
| Reddit Inc (RDDT.N)                    | O (12/08/2024) | \$153.45            |
| Snap Inc. (SNAP.N)                     | E (07/22/2024) | \$5.20              |
| Uber Technologies Inc (UBER.N)         | ++             | \$75.36             |
| <b>Matthew Cost</b>                    |                |                     |
| AppLovin Corp (APP.O)                  | O (04/10/2025) | \$303.76            |
| Compass, Inc. (COMP.N)                 | E (01/12/2026) | \$12.73             |
| Criteo SA (CRTO.O)                     | E (01/26/2016) | \$17.36             |
| DoubleVerify Holdings Inc (DV.N)       | E (06/25/2024) | \$13.29             |
| Liftoff Mobile Inc. (LFTO.O)           | E (06/29/2026) | \$25.26             |
| MNTN Inc (MNTN.N)                      | E (06/16/2025) | \$11.95             |
| Opendoor Technologies Inc (OPEN.O)     | E (07/24/2023) | \$3.49              |
| Playtika Holding Corp (PLTK.O)         | E (11/27/2022) | \$2.37              |
| Roblox Corporation (RBLX.N)            | O (11/04/2024) | \$35.54             |
| Take-Two Interactive Software (TTWO.O) | O (02/01/2018) | \$243.00            |
| Trade Desk Inc (TTD.O)                 | E (09/10/2025) | \$13.49             |
| Unity Software Inc (U.N)               | O (09/02/2024) | \$44.53             |
| Webtoon Entertainment Inc (WBTN.O)     | E (07/22/2024) | \$8.63              |

|                                    |                |          |
|------------------------------------|----------------|----------|
| Yelp Inc (YELP.N)                  | U (01/10/2019) | \$23.64  |
| Zillow Group Inc (Z.O)             | E (04/18/2018) | \$33.26  |
| <b>Nathan Feather</b>              |                |          |
| Bumble Inc. (BMBL.O)               | E (03/08/2021) | \$2.61   |
| Chewy Inc (CHWY.N)                 | O (10/31/2023) | \$22.35  |
| Duolingo Inc (DUOL.O)              | E (02/27/2026) | \$134.63 |
| eBay Inc (EBAY.O)                  | O (04/18/2024) | \$102.31 |
| Etsy Inc (ETSY.N)                  | E (07/20/2025) | \$79.63  |
| FIGS, Inc. (FIGS.N)                | E (02/29/2024) | \$14.42  |
| Grindr Inc. (GRND.N)               | O (07/01/2026) | \$15.87  |
| Match Group Inc (MTCH.O)           | E (04/18/2024) | \$36.58  |
| Peloton Interactive, Inc. (PTON.O) | E (03/14/2022) | \$5.42   |
| Revolve Group Inc (RVLV.N)         | E (10/20/2024) | \$23.78  |
| WW International Inc (WW.O)        | E (08/01/2025) | \$14.45  |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.